

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

	X	
INTERNATIONAL LONGSHOREMEN’S	:	
ASSOCIATION,	:	
	:	
Complainant,	:	
	:	
v.	:	FMC Docket No.: 22-12
GATEWAY TERMINALS, LLC;	:	
CHARLESTON STEVEDORING COMPANY,	:	
LLC; PORTS AMERICA FLORIDA, INC.;	:	
CERES MARINE TERMINALS, INC.; AND SSA	:	
ATLANTIC, LLC.	:	
	:	
Respondents.	:	
	:	
	X	

**REPLY BRIEF OF COMPLAINANT INTERNATIONAL LONGSHOREMEN’S
ASSOCIATION IN SUPPORT OF THE
COMMISSION’S JURISDICTION OVER RESPONDENTS**

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INTRODUCTION

The International Longshoremen's Association ("ILA") submits this brief to the Federal Maritime Commission ("Commission") in reply to the Reply Brief on Personal Jurisdiction filed by Respondents Gateway Terminals, LLC ("Gateway"), Charleston Stevedoring Company, LLC ("CSC"), Ports America Florida, Inc. ("Ports America"),¹ SSA Atlantic, LLC ("SSA"), and Ceres Marine Terminals, Inc. ("Ceres") (collectively, "Respondents").²

Respondents fail to rebut the ILA's demonstration that Respondents qualify as marine terminal operators ("MTOs") under the Shipping Act because they can condition a common carrier's access to terminal facilities upon payment of fees for both: (1) their exclusive stevedoring and checking services; and (2) their exclusive gate operation services.

Respondents also fail to rebut the ILA's showing that they share joint control over furnishing terminal facilities in the Port of Charleston and the Port of Savannah (together, the "Ports") with the South Carolina State Port Authority ("SCSPA") and Georgia Port Authority ("GPA") (together, the "Port Authorities"). As the evidence shows, Respondents' pervasive involvement in the business of common carriers and the degree of their control over the two Ports' terminal facilities confers the Commission jurisdiction over the Respondents.

LEGAL STANDARD

Respondents argue in their answering brief that Commission Rule 502.62(a)(5) and (b)(5) require the Commission to dismiss complainant's claims on the papers alone. Resp. Br. 5.

¹ Ports America Florida, Inc. was named as a Respondent in this case because the publicly disclosed proposed joint venture agreement (Agreement 201293) included that entity as a contracting party. See CX_001101.

² References to Respondents' Reply Brief on Personal Jurisdiction will be cited as Resp. Br. _____. References to Respondents' First Brief in Support of Respondent's Motion to Dismiss will be cited as Resp. MTD Br. _____. References to ILA's principal Brief in Support of Jurisdiction Over Respondents will be cited as ILA Br. _____.

Respondents tellingly cite no Commission or court authority to support this assertion. As the ILA already explained, where jurisdiction is being decided based upon “affidavits and discovery materials without holding an evidentiary hearing,” the ILA has the burden of making out only a *prima facie* showing of personal jurisdiction over Respondents. See *AT&T v. Compagnie Bruxelles Lambert*, 94 F. 3d 586, 588 (9th Cir. 1996). Dismissal of the AVC is appropriate then only if the ILA has failed to make such a “*prima facie* showing of personal jurisdiction.” *Id.* (citations omitted). This standard is not relegated to federal court; the Commission applies the *prima facie* standard to determine whether it has jurisdiction over respondents to private party complaints.³ See *R.O. White & Co. v. Port of Miami Terminal Op. Co.*, No. 06-11 (July 28, 2009) (“I find that the Complainants have met their burden of affirmative proof of jurisdiction within the meaning of [the Act].”) (adopting *prima facie* standard set forth by *Negron-Torres v. Verizon Comm’n’s, Inc.*, 478 F.3d 19, 23 (1st Cir. 2007)).

Even if the Commission were not to apply the *prima facie* standard, when presented with conflicting declarations without a hearing, the summary judgment standard is appropriate.⁴

Therefore, to the extent there are any genuine issues of material fact, it would not be proper to dismiss the complaint without a hearing. As the Supreme Court has explained:

[C]ourts [and administrative law judges] may not resolve genuine disputes of fact in favor of the party seeking summary judgment . . .

³ There can also be no serious contention that the cases relied on by the ILA should not be relied on by the Commission. Resp. Br. 4. The Commission consistently relies on the Federal Rules of Civil Procedure to determine the applicable standard of review, practice, or procedure. *E.g.*, 46 C.F.R. 502.12.; see also *Kawasaki Kisen Kaisha, Ltd. v. Intercont’l Exch., Inc.*, 2000 WL 1285694, at *1 (FMC Aug. 3, 2000) (“The Commission follows the Federal Rules of Civil Procedure observed in the United States District Courts if they are consistent with sound administrative practice.”).

⁴ Following the Respondents’ blanket assertion that a preponderance of evidence review should be applied here would clearly be in error because that standard presupposes a full evidentiary hearing. See *Hilsinger Co. v. FBW Investments*, 109 F. Supp. 3d 409 (D. Mass. 2015) (“The ‘preponderance-of-the-evidence’ standard ‘necessitates a full-blown evidentiary hearing at which the court will adjudicate the jurisdictional issue definitively before the case reaches trial.’”) (citing *Foster–Miller, Inc. v. Babcock & Wilcox Can.*, 46 F.3d 138, 145–47 (1st Cir. 1995) (full blown evidentiary hearing necessary before applying preponderance of the evidence standard)).

a ‘judge’s function’ at summary judgment is not ‘to weigh the evidence and determine the truth of the matter but to determine whether there is a genuine issue for trial.’ (citation omitted). Summary judgment is appropriate only if . . . “there is no genuine issue as to any material fact and the movant is entitled to judgment as a matter of law.

Tolan v. Cotton, 572 U.S. 650 (2014) (citing Fed. Rule Civ. Proc. 56(a)). In making this determination, the Commission must view the evidence “in the light most favorable to the opposing party. . . and it may not make credibility determinations or weigh the evidence . . .” *Adickes v. S. H. Kress & Co.*, 398 U. S. 144, 157 (1970); *see also Reeves v. Sanderson Plumbing Prods.*, 530 U.S. 133, 150-151 (2000).

ARGUMENT

The critical factor in determining whether an entity “furnishes wharfage, dock, warehouse, or other terminal facilities” is the extent of the entity’s control and administration over terminal facilities and “the degree to which [its] involvement enables [it] to discriminate.” *Plaquemines Port, Harbor & Terminal Dist. v. Fed. Mar. Comm’n*, 838 F.2d 536, 541 (D.C. Cir. 1988), *affirming New Orleans Steamship Ass’n v. Plaquemines Port, Harbor & Terminal Dist.*, 23 S.R.R. 1363 (FMC 1986) (“*Plaquemines II*”); *see also Plaquemines Port, Harbor & Terminal Dist.*, 21 S.R.R. 1072, 1079 (1982), *appeal dismissed*, No. 82-1941 (D.C. Cir. May 17, 1983) (“*Plaquemines I*”).

It is perplexing that Respondents would at this stage argue that the tests set forth in *Plaquemines I* and *II* are inapplicable or unhelpful to the Commission’s decision on the present motion. Resp. Br. 8-9. The Respondents have relied on the *Plaquemines* decisions since their first motion to dismiss to argue that the Commission lacks jurisdiction here. Resp. MTD Br. 5-6. General Counsel’s August 6, 2019 letter—cited verbatim by Respondents, Resp. Br. 11-12—and

Respondents' own position during the 2019 review of Agreement No. 201293, CX_000163-64, relied almost exclusively on the *Plaquemines* decisions.⁵ Respondents also fail to address the fact that the control theory developed in these "controversial" "cases from the 1980s," Resp. Br. 8, is still applied by the Commission. See *Carolina Marine Handling Inc. v. S. Carolina State Ports Auth.*, 99-16, 2000 WL 722274 (May 2, 2000) ("The ability to control access to terminal facilities is the economic power subject to the greatest potential for abuse. . . [r]egulatory oversight which ensures reasonable, non-discriminatory access to those facilities should be the primary focus of the Commission's regulation of marine terminal activities."); see also *Toyota de Puerto Rico Corp. v. Puerto Rico Ports Auth.*, 19-02, Order (July 2, 2019) (explaining that *Plaquemines* set forth the control theory of the Commission's jurisdiction); *Auction Block Company v. the City of Homer*, 2013 WL 9808688, at *13 (May 20, 2013) (same).

Above all else, the statutory scheme of the Act "contemplates regulation of any entity if it exercises sufficient control over terminal facilities to have a discernible effect on the commercial relationship between shippers and carriers involved in that link in transportation." *Plaquemines I* at 1079. The facts before the Commission to consider here should not be lost. Three marine terminal operators have entered two joint ventures whereupon they not only control access to the port terminals through their gate operations, but also provide marine terminal facilities, their warehouses, and exclusively provide a number of marine terminal services to carriers that call in the Port. Respondents' literal ability to restrict access to the ports' marine terminal facilities, and

⁵ As the ILA has maintained throughout this proceeding, and ALJ Wirth acknowledged in her June 23, 2022 Order, "the opinion by OGC is not binding on this proceeding." Order, p. 3. Further, General Counsel at that time evaluated facts presented by Respondents in the Port as of 2019, and the review of a full evidentiary record of Respondents' present-day activities are being evaluated for the first time here.

their control over the marine terminals themselves means that they can affect marine terminal commerce. *Id.*

Moreover, Respondents cannot hide behind the joint ventures (“JVs”) that they themselves entered into. As the ALJ found in a similar case, “POMTOC, like any limited liability company, is a cross between a business corporation and a general partnership . . . As acknowledged in their pre-hearing statement, the members formed POMTOC so as to continue their business operations in a more efficient and productive manner . . . It would be directly counter to the intent and language of the Act to allow them to evade the jurisdiction of the Commission merely because they do not perform the functions of a MTO with their own employees.” *R.O. White & Company, Inc.*, FMC 06-11 (2009), (decision made administratively final through Notice Not to Review issued Oct. 6, 2009) (finding that POMTOC, as well as respondent members of POMTOC, LLC were MTOs under the Shipping Act); *see also* CX_000161-64 (Respondents justifying the JVs for the same reasons advances by POMTOC). The three JV members cannot use the JVs as a smokescreen to escape liability for the JVs’ actions and they each must qualify as MTOs for the same reasons that confer jurisdiction over the JVs themselves.

Finally, in asking the Commission to depart from precedent, Respondents rely primarily on the written declarations from their own officials that are free from cross-examination. Resp. Br. 16-18. As shown below, these “self-serving declarations,” *see* Resp. Br. 24, are contradicted by both the documentary evidence and the ILA’s own declarations.

I.

RESPONDENTS CONTROL ACCESS TO THE PORT TERMINALS THROUGH THE FEES CHARGED TO CARRIERS FOR THEIR EXCLUSIVE PROVISION OF ESSENTIAL SERVICES

Though Respondents make much of the fact that they neither own nor lease the marine terminals, “ownership or operation of terminal facilities is not a necessary prerequisite to the ability to discriminate.”⁶ *Plaquemines II*, 838 F.2d at 543. Rather, the “critical issue for jurisdiction is that the degree of the [Respondent’s] involvement enables [them] to discriminate.” *Id.* As the ILA demonstrated in its initial brief, the Commission has jurisdiction over Respondents because their control over access to the Ports’ terminal facilities allows them to discriminate against those who seek access to the facilities. *See id.*

The ILA has already explained how the Respondents turned themselves into MTOs when they entered into joint ventures which made them the **only** providers of essential stevedore and checking services at the Ports’ terminal facilities. *Plaquemines I*, 21 F.M.C. 66 (1982) (Commission asserting jurisdiction over entity that charges fees for essential services which it has the “exclusive ability” to provide). Now, any carrier who wishes to call on either Ports’ facilities must pay Respondents a fee for their services. This ability to restrict access to terminal facilities upon payment of Respondents’ fees enables them to discriminate in the fees they charge carriers. Just like the port authority’s harbor fees in *Plaquemines II*, this is sufficient to sustain jurisdiction. *See* 838 F.2d at 543.

⁶ This argument also ignores that Respondents **do** lease or license large swaths of the terminal facilities in both Savannah and Charleston (including gate booths, yard space, office buildings, warehouses, training areas, and the use of dockage, wharfage, and other terminal areas as needed to perform their stevedoring and gate services). *See* ILA Br. 24-26.

Respondents do not dispute that checking and stevedoring are “essential” terminal services.⁷ Nor do they dispute that access to the Ports’ facilities is conditioned upon a commitment to pay Respondents for these marine terminal services. Resp. Br. 25. Rather, Respondents take the confounding position that the carriers’ relative bargaining power somehow divests the Commission of jurisdiction:

ILA’s claim that a carrier’s access to terminals depends on whether the carrier agrees to contract with CSC also misses the mark. ILA claims that CSC is some kind of all-powerful gatekeeper against helpless carriers, but this fails to recognize the bargaining power that carriers have, overlooks myriad other reasons why carrier would call on a particular port, and misunderstands that CSC has an economic incentive to negotiate competitive rates and encourage carriers to call on the Port of Charleston.

Id. But this is irrelevant as to whether Respondents are MTOs under the Shipping Act. Whether or not carriers may have their own business reasons for calling at the Ports has no bearing on the fact that Respondents can restrict access to the Ports’ terminal facilities. Besides, Respondents concede that they have control over access to terminal facilities through the fees they charge carriers by **acknowledging** that they have the ability to “negotiate competitive rates” that will encourage carriers to call there. *Id.*

Respondents’ arguments regarding gate operations are similarly unavailing.⁸ In their brief, Respondents contort themselves to downplay their control over terminal gates facilities, despite

⁷ Nor could they when “checking, handling, heavy lift, loading and unloading” services all come under the Commission’s own definition of terminal services. 46 C.F.R. § 525.1(c)(19). Stevedoring and checking are intimately related to the terminal’s core function of “receiving, handling, transporting, storing, or delivery of property.” See *Petchem, Inc. v. Canaveral Port Auth.*, 84-28, 1986 WL 170038 at *8-9 (1986). Past cases also make clear that services can be transformed into terminal functions if, as here, access to the terminal is conditioned upon a commitment to pay for those services. *Id.* at 11.

⁸ While the full extent of Respondents’ control over terminal gate operations is not yet known due to their refusal to cooperate in discovery, the documentary evidence and declarations are more than sufficient to establish jurisdiction here.

having argued in 2019 that their extensive control over gate operations allows them to “exercise control over access to the terminal itself.” CX_001034; *see also* CX_001024. However, Respondents cannot deny that Gateway and CSC have full operational control over gate facilities as the “exclusive providers” of gate operation services in the Ports.⁹ Nor can they deny that Gateway and CSC restrict access to the terminal by assessing carriers a fee for these gate interchange services. *See Plaquemines II*, 838 F.2d at 543 (jurisdiction is conferred if the entity “begin[s] to charge a fee for their services and to control access to private facilities to enforce their charges. . .”).

Respondents accept that Gateway “provides access to the terminals” and “operates the gates at the relevant terminals” in Savannah and that CSC “perform[s] gate services” in Charleston. Resp. Br. 23, 25; *see also* McLaughlin Reply Decl. ¶¶ 21-32; Simms Decl. ¶¶ 24-36. They also accept that CSC and Gateway charge the carriers directly for these services.¹⁰ Resp. Br. 22-23, 25; *see also* CX_000221 (“[CSC] shall negotiate tariff rates for Stevedore Services and CGC fees for gate services directly with the container shipping lines”); CX_000245-63 (CSC’s rate agreements with the container shipping lines showing that CSC bills the carriers directly for gate services); McLaughlin Decl. ¶¶ 31-32; Sims Decl. ¶¶ 22, 34; Grimes Decl. ¶ 9; CX_000170 (“rates

⁹ At the terminal gates, Gateway and CSC employees exclusively perform transfer interchange receipt (TIR) and equipment interchange functions, involving the inspection of container and chassis equipment and supervising the transfer of that equipment in and out of the terminal. In Charleston, CSC employees generate a TIR, check containers for damage, and review a road truck driver’s identification and paperwork before the truck is given access to the facility. McLaughlin Reply Decl. ¶¶ 21-32; McLaughlin Decl. ¶¶ 27-28. And in Savannah, Gateway employees verify the truck driver’s container identification number and inspect the container and chassis equipment for damage and other potential hazards. Simms Decl. ¶¶ 29-32.

¹⁰ Mr. Grimes states that the fact that carriers are billed weekly, rather than daily, for their services is somehow indicative that Gateway cannot deny access to carriers who refused to pay their fees. But of course Gateway would also be able to deny access to a carrier who does not make its weekly payments. Grimes Decl. ¶ 9.

for gate services or TIR in Savannah are set by Parties, independent of GPA.”); CX_000556-85 (listing “Gate Costs,” “TIR Rate,” “Special Weekend/Holiday Rate”).¹¹

Nevertheless, Respondents contend that the gate operations do not provide the Commission with jurisdiction because Gateway and CSC perform these essential services pursuant to contracts with the Port Authorities.¹² Respondents provide no legal support for this position under an agency theory or similar legal theory. Nor do they provide any genuine factual basis for finding that Respondents lack the authority and discretion to restrict terminal access to port users.¹³

Whether or not Respondents perform these gate services pursuant to a license agreement is irrelevant to the key considerations at issue for jurisdiction—that is, whether Respondents provide essential services (which they indisputably do) and whether they can control access to private facilities by assessing fees on common carriers for their essential services (which they indisputably can).¹⁴ See *Plaquemines II*, 838 F.2d at 543. Indeed, certain access standards

¹¹ Respondents also **do not** dispute that Gateway’s and CSC’s gate operation services are “**essential**” terminal services and instead argue that *Plaquemines I* and *II* are inapplicable here. Resp. Br. 37-38. Like the vessel operations Respondents perform, the gate terminal services are indisputably “essential” terminal services intimately related to the “receiving, handling, transporting, storing, or delivery of property.” 1986 WL 170038 at *8-9. Among other things, the Respondents’ employees are performing checking functions at the gate, which fall under the FMC’s definition of terminal services. 46 C.F.R. § 525.1(c)(19). Further, the interchange functions performed by Respondents’ employees at the gates are fundamental to the operation of the terminal and the movement of inbound and outbound container cargo to and from the facility and relate directly with terminal services.

¹² While Respondents’ affiants try to downplay the extent of Respondents’ control over the gates, the ILA’s witnesses describe the reality of Respondents’ full operational and staffing control over gate terminal interchange facilities. See McLaughlin Reply Decl. ¶¶ 21-32 (Local 1771 President correcting certain inaccuracies in Mr. Joseph Haigler’s declaration regarding Respondents’ role at the gates); Simms Decl. ¶¶ 24-36.

¹³ Respondents also do not explain why, even if it is true that the JVs act as GPA’s and SCSPA’s agents at the gates, that the Respondents’ could not **also** be MTOs within the meaning of the Act. A principal/agent relationship does not change the undisputed facts that the JVs assess a service charge to all carriers who use road trucks at the terminals for shipping inbound and outbound cargo to its final destination.

¹⁴ Respondents claim that the GPA and SCSPA police are generally responsible for terminal security, including who enters and exits the facility through terminal security gates. But the ILA never argued that Respondents have control over these security gates. Rather, the ILA argued, and Gateway and CSC do not dispute, that they exclusively perform interchange functions at the gate for which they assess a fee directly from the carriers.

mandated by the Maritime Transportation Security Act, 33 C.F.R. § 105 *et seq.*, and specified gate hours in the license agreements do not deprive the JVs of their independent authority over the gate services they exclusively provide in the Ports. CSC and Gateway directly employ those working at the gate interchange. McLaughlin Decl. ¶¶ 33, 34; Simms Decl. ¶¶ 23-25. The terminal gate employees are paid by CSC and Gateway and they answer to CSC and Gateway. The JVs also have their own operating agreements and their own rules and procedures for work performed at the gates. See CX_204-213, 390-397, 1038-058. The parties' contractual relationship does nothing more than show two parties who share responsibility on port operations having agreed to certain parameters that will allow them to efficiently perform their respective terminal functions necessary to the operation of terminal facilities in the two large ports. See CX_000169.

Further, during the review of Agreement No. 201293, the General Counsel acknowledged that the second element of *Plaquemines* was met with respect to Gateway's assessment of fees in Savannah, but not in Charleston because at that time SCSPA charged the carriers directly for the gate services.¹⁵ However, as Respondents explain, "while SCPA previously charged carriers directly for gate services, **CSC now charges a gate fee per vessel throughput for its gate services and bills carriers directly.**" (emphasis added). Resp. Br. 25. So now, in both ports, if a carrier fails to pay either CSC's or Gateway's gate fees, Respondents have the ability to deny that carrier access to the facility in order to transport its cargo on road trucks.¹⁶

¹⁵ The General Counsel has already acknowledged the gate fees provide a basis for jurisdiction over Gateway in Savannah, but concluded that this alone was insufficient to confer jurisdiction over NEWCO which was intended to cover **both** Savannah **and** Charleston. CX_000172. However, since Respondents opted to abandon NEWCO and instead create separate joint ventures at each port, Gateway's gate services in Savannah should now be at the very least sufficient to establish jurisdiction over Respondents in Savannah.

¹⁶ Access can also be denied for other reasons, *e.g.*, if the trucker's equipment is damaged, the trucker has the wrong identification number or paperwork, or the container does not have proper labeling when carrying hazardous materials.

Thus, a carrier that does not agree to Respondents' gate fees in Savannah or Charleston is then otherwise forced to select another port, such as Wilmington, NC or Jacksonville, FL, to ship its cargo.

II.

RESPONDENTS JOINTLY CONTROL THE TERMINAL FACILITIES IN CHARLESTON AND SAVANNAH WITH THE PORT AUTHORITIES

As the ILA observed in its initial brief, this case is even easier than the *Plaquemines* line of cases, where the entity played no role in the operation of a marine terminal, because Respondents actually **do operate** terminal facilities in both Ports. The ILA explained in its principal brief that Respondents' considerable involvement in the Ports' terminal facilities—and in many instances and at many times their **complete** control over those facilities—makes them MTOs within the meaning of the Shipping Act.

In response, Respondents deflect by listing all the ways that SCSPA and GPA are MTOs. But the ILA does not argue that the Ports Authorities are not also MTOs. Resp. Br. 22-23, 25. Rather, the ILA's position is that the record evidence demonstrates CSC and Gateway are so interconnected with the Ports Authorities and are so involved in the day-to-day operations of the Ports' terminal facilities (and the services connected therewith) that they share joint operational control with SCSPA and GPA over the Ports' terminal facilities. *See Carolina Marine Handling, Inc.*, 2000 WL 722274 at *38 ("The key element in finding that the Commission has jurisdiction in this case is the existence of a port authority's "control and administration" over the terminal facilities and the port's resultant ability to discriminate"). As a result of this joint control, Respondents furnish terminal facilities coextensively with the Ports Authorities; and a conclusion otherwise would be a departure from Commission precedent. *Plaquemines I*, 21 S.R.R. at 1080

(finding “that such pervasive involvement in the business of common carriers, marine terminals and the commerce of the United States confers on the Commission jurisdiction over the Port.”).¹⁷

Respondents demonstrate “sufficient control over terminal facilities” because their involvement in the operation of Ports’ facilities has “a discernible effect on the commercial relationship between shippers and carriers involved in that link in transportation.” *Plaquemines I*, 21 S.R.R. at 1079. For example, as discussed above in Section I, *supra*, CSC and Gateway furnish terminal facilities by way of their exclusive administration of gate terminal interchanges, a key piece of the Ports’ terminal facility infrastructure. *See Carolina Marine Handling, Inc.*, 2000 WL 722274 at *38; *Plaquemines II*, 838 F.2d at 540; CX_000264-65 (chart depicting each Respondents’ control over the marine terminal gates). Indeed, as Respondents previously explained, their control over the gates separates them from the regular run-of-the-mill stevedoring company. *See CX_000167* (explaining that their “more expansive role” in yard planning and moving cargo around the terminal within the facility makes their role in the Ports “significantly different” than that of a typical stevedore).

Further, in administering their exclusive gate and stevedoring services, Respondents must communicate with the carriers frequently and directly. Without Respondents’ gate or stevedoring services, carriers could not move their cargo at the facility either by vessel or road truck. Such “pervasive involvement” in the business of common carriers seeking to call at the Ports is sufficient to establish jurisdiction. *Plaquemines I*, 21 S.R.R. at 1080; *see also CX_1037* (Respondents

¹⁷ There is also no basis for finding, as Respondents imply, that there can only be one MTO at a given port. Resp. Br. 22 (citing the Gateway License Agreement stating that GPA “would ‘continue to be the marine terminal operator for the Terminal responsible for the operation of all cranes and container handling equipment’”). The Commission’s prior decisions show that this is simply untrue. *See Plaquemines II*, 838 F.2d at 543; *R.O. White & Co.*, No. 06-11 (establishing that Port of Miami Terminal Operating Company, Continental Stevedoring & Terminals, Inc., Florida Stevedoring, Inc., Ports America, Inc., and Ports America Florida, Inc. are all MTOs in the Port of Miami).

claiming that “the level of integration among the gate, yard and vessel functions is expected to increase once this agreement takes effect. Thus, **the JV company (responsible for the gate and vessel loading/unloading operations) will be playing a closer planning role with the port authority (which operates the yard and cranes), with an aim of making the entire port facility operate in a more integrated, seamless and efficient manner.**” (emphasis added)); McLaughlin Reply Decl. ¶¶ 10-14.

Respondents also directly furnish warehousing. 46 C.F.R. § 535.104(p) (definition of MTO includes a person furnishing warehousing). They do so by way of their control over the warehouses where stuffing and stripping of containerized cargo is performed. CX_000718 (SSA’s lease defining stuffing and stripping work to be performed in leased area); CX_000787 (same); CX_00896 (same); Brave Decl. ¶¶ 11, 28; *see also* Mosley Decl. ¶¶ 26-29; Sims Decl. ¶¶ 39-42; McLaughlin Decl. ¶¶ 20-26; CX_000199; CX_000637; CX_000716; CX_001018. Stuffing is the loading of a container with warehoused cargo while stripping is unloading the cargo from within the container into the warehouse or equivalent storage area.

While the evidence shows several other leases of warehouse property, Respondents also concede that SSA operates an off-pier warehouse in Charleston, Lokey Decl. ¶¶ 16, 18(a), and that CSC offers off-pier warehousing outside of the Wando Welch, Leatherman, and North Charleston marine terminals, Haigler Decl. ¶¶ 9, 12(c).¹⁸ Yet Respondents claim these off-pier warehouses are not marine terminal facilities and that Respondents’ container freight station work is not a marine terminal function. But marine terminal facilities are “not limited to waterfront or port facilities” and “off-dock container freight stations at inland locations” are one of the specific

¹⁸ Additionally, Respondents’ Haigler Declaration also confirms that CSC uses its licensed 1.16-acre area near the Wando Welch Terminal to store equipment and conduct container freight station work. *Id.* ¶ 13(c).

examples of marine terminal facilities provided in the Commission’s rules. 46 C.F.R. § 535.104(p). This must be why Respondents reference to the statutory definition of marine terminal facilities omits the final sentence from 46 C.F.R. § 535.104(p): “This term is not limited to waterfront or port facilities and includes so-called off-dock container freight stations at inland locations and any other facility from which inbound waterborne cargo may be tendered to the consignee or outbound cargo may be received from shippers for vessel or container loading.” Through their control over these warehouse facilities, where Respondents employ ILA-represented labor to stuff and strip common carrier-owned containers, Respondents operate as marine terminal operators within the meaning of the Act.

The ILA also explained in its original brief that Respondents exercise substantial control over the Ports’ facilities when they perform its exclusive vessel operation services. As the cargo moves inside the terminal, Respondents’ employees exercise control over the marine terminal. See CX_000264-65; McLaughlin Reply Decl. ¶¶ 10-14; Simms Decl. ¶¶ 14-23. For example, Respondents are in charge of the terminal (and the state employees working on the terminal) when containers are moved to and from the stacking areas on the terminals. Respondents downplay their role in terminal facilities when cargo is being moved throughout the terminal and likewise downplay their control over the marine terminal during ship operations. Resp. Br. 24. But each of the ILA’s affiants, who are employed by CSC or Gateway—and who work on a daily basis on the marine terminals in either Port—are certain that CSC and Gateway control the marine terminal during ship operations. Brave Decl. ¶¶ 24-25; Mosley Decl. ¶¶ 16-17; McLaughlin Reply Decl. ¶¶ 15-20; McLaughlin Decl. ¶¶ 18-19; Simms Decl. ¶¶ 16-19. The ILA’s affiants are similarly certain that CSC and Gateway exercise control over the terminal when the containers are moved

inside the terminal. Mosley Decl. ¶¶ 22-25; Simms Decl. ¶¶ 21-22; McLaughlin Reply Decl. ¶¶ 10-14.

Respondents have offered their own declarations stating that the Ports Authorities maintain full responsibility and control over the terminal facilities.¹⁹ See, e.g., Grimes Decl. ¶ 23; Haigler Decl. ¶ 10. In doing so, Respondents create many disputed facts. But under either the *prima facie* or summary judgment standard, it is not appropriate to make credibility determinations based on the papers. “Such credibility determinations, based upon [the] decision to weigh the competing evidence” “demand[s]” that the . . . dispositive motion be denied. *Strickland v. Norfolk Southern Ry. Co.*, 692 F.3d 1151, 1161-62 (11th Cir. 2012). This is because:

Summary judgment operates as a judicial safety-valve, permitting the court to decide a case as a matter of law only where there are no genuine issues of material fact that are relevant to the parties' dispute; it does not permit, however, the court to make a final determination where such genuine issues of material fact exist.

Id. Indeed, “[w]here a fact-finder is required to weigh a **deponent’s** credibility, summary judgment [and therefore, dismissal under the lower *prima facie* standard] is simply improper.”

*Id.*²⁰

Respondents also misunderstand what the office space, training areas, yard space, and other marine terminal facilities leased by Respondents on the terminals show. Resp. Br. 27 (arguing maintenance of office space is not relevant to jurisdiction because office spaces “are not terminal services.”). Not only do these facts show Respondents’ actual control over terminal facility property, but the office space leased by Respondents, among the other extensive property leased

¹⁹ If this were true, it is curious that none of the documents provided in the albeit limited discovery from Respondents supports this argument.

²⁰ These considerations are even stronger here where the ILA has had no opportunity to depose and cross examine the Respondents’ witnesses.

or licensed to Respondent, further illustrates Respondents’ extensive presence at the terminals and their involvement with the day-to-day operations of the terminal facilities. In this regard, Respondents and the Port Authorities engage in joint training exercises, CX_000521, CX_000213, the Port Authorities divest responsibility for the safety of training personnel and other personnel in the marine terminal to Gateway and CSC, CX_000522, CX_000213-14, GPA and Gateway are partnered in the parking and placement of personnel vehicles in or near the terminal, CX_000523, CSC is responsible for shuttling personnel to and from the marine terminal, CX_000114, and CSC was responsible for spraying and disinfecting marine terminal areas during the COVID pandemic, McLaughlin Reply Decl. ¶ 32.

Respondents cannot help but to concede their considerable involvement in the day-to-day operations of the Ports, such as yard planning, and their frequent communications with common carriers seeking to use port facilities. *See* Resp. Br. 17 (admitting Respondents “communicate with ocean carriers and port authorities to coordinate the assignment of longshore crews to stevedore vessels calling there.”); Resp. Br. 18-19 (acknowledging that Respondent SSA “performed cross-docking work in Savannah terminals” but that GPA’s ownership of the terminal is the only material fact (it is not)); Resp. Br. 21 (acknowledging Respondents’ heavy involvement in terminal yard planning and control over the yard, “Gateway provides input towards yard planning for specific vessels.”); Resp. Br. 26 (“CSC is responsible for moving cargo between vessels and container yards”).²¹ Thus, Respondents themselves recognize their role in terminal operations and control over the related facilities.

²¹ Respondents assertions that the Port Authorities alone are responsible for maintenance and upkeep of the terminal facilities are contradicted by numerous documents in the record requiring Respondents to maintain or repair the facility property they lease and license. *See* CX_000185-186; CX_000363; CX_000382; CX_000468; CX_000615; CX_000643; CX_000657; CX_000720; CX_000737; CX_000788; CX_000810; CX_000843; CX_000865; CX_000884; CX_000889; CX_000900; CX_000933; CX_000953; CX_001016; CX_001069 (each of which state

These admissions establish that Respondents **jointly** furnish marine terminal facilities with the Port Authority. Their control over terminal facilities ranges from pre-vessel operations, McLaughlin Decl. ¶¶ 17-19; Simms Decl. ¶¶ 16; McLaughlin Reply Decl. ¶¶ 15-21, to complete control over the marine terminal during vessel operations, Brave Decl. ¶¶ 24-25; Mosley Decl. ¶¶ 16-17; McLaughlin Decl. ¶¶ 18-19; Simms Decl. ¶¶ 16-19, and most significantly in their control over **not only** their own ILA-represented employees **but** the state employees in the movement of cargo around the terminal, Simms Decl. ¶¶ 14-15; McLaughlin Reply Decl. ¶¶ 10-14.²²

Respondents' own account demonstrates that they have direct or indirect control over virtually every stage of import/export process flow. See CX_000264-265 (import/export flow charts). As Respondents explain during the review of Agreement No. 201293:

The parties qualify as marine terminal operators in the ports pursuant to 46 U.S.C. § 40102(15) because of their operational control and staffing of key terminal infrastructure (i.e., the terminal gates), their control over access to the terminal facilities, their provision of essential services (including checking, recognized by the Commission to be a marine terminal service, as well as yard planning and stevedoring), and their assessment and collection of gate fees.

Respondents **are** responsible for maintenance within the terminal). Nor do their assertions regarding terminal maintenance or the Port Authorities' other responsibilities in the Ports detract from the fact that Respondents' control over and provision of marine terminal facilities amounts to marine terminal operations.

²² Respondents control pre-vessel operations and stowage through direct communications with common carriers. CX_000245-63; CX_000556-84; Mosley Decl. ¶ 18-19, 21; McLaughlin Decl. ¶¶ 9-16; Sims Decl. ¶ 17-19. Respondents supervise and direct both their own employees and state employees when a ship is berthed at the dock for loading/unloading of cargo. See Mosley Decl. ¶¶ 16-17; Sims Decl. ¶¶ 15-16; Brave Decl. ¶¶ 18-19; McLaughlin Decl. ¶ 19; CX_000180; CX_000202; CX_000221; CX_000390; CX_000441; CX_000587. Likewise, Respondents supervise their employees and state employees in directing cargo to and from the vessel, provide input on where containers are stored in the terminal, and direct where containers are to be positioned within the stacking areas prior to being moved to the vessel. See CX_000264-65; Mosley Decl. ¶ 10, 22-23; Sims Decl. ¶¶ 20-1; *see also* McLaughlin Decl. ¶¶ 9-16, 27-29; Brave Decl. ¶¶ 20, 22.

CX_000163; *see also* CX_000169 (explaining that “after the agreement becomes effective, the Parties expect to work closely with GPA and SCPA to calculate expected efficiency gains for a number of key performance indicators”)

It is beyond doubt that Respondents “control and administration” over the terminals enable them to discriminate such that Commission jurisdiction is appropriate. *See Carolina Marine Handling*, 2000 WL 722274, at *38.

III.

RESPONDENTS HAVE NOT COMPLIED WITH THEIR DISCOVERY OBLIGATIONS

As the ILA explained in its principal brief, virtually all relevant discovery on Respondents’ roles in Charleston and Savannah is within Respondents’ control. Respondents knew the ILA could not compel responsive and probative documents from them, and used the situation to their advantage, producing only selected documents that Respondents believed would militate against a finding of jurisdiction here.²³

A. Respondents Did Not Fulfill Their Discovery Obligations to the ILA’s Detriment and Their Own Advantage

Respondents’ own brief belies its position that the ILA was able to meaningfully engage in discovery. Resp. Br. 28. Respondents do acknowledge the ILA was unable to depose or cross-examine any witness, that the ILA would **only** have such an opportunity if it prevailed at this stage

²³ See ILA Br. 6-8 for a full discussion of the outstanding discovery and what that discovery could establish in this proceeding. *Accord* March 9, 2023 Order, CX_000006.

of the proceeding, and that Respondents wholly refused to engage in electronic discovery whatsoever because they unilaterally decided they did not have to. *Id.*

Reading into the March 9, 2023 Order what was not there, *see* CX00004, Respondents construed the order to mean that they were not obliged to engage in any electronic discovery. But where the Commission’s Rules are silent on a matter of procedure, “the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.” 46 C.F.R. § 502.12.

Federal Rule of Civil Procedure Rule 34(a) provides:

(a) In General. A party may serve on any other party a request within the scope of Rule 26(b):

(1) to produce and permit the requesting party or its representative to inspect, copy, test, or sample the following items in the responding party's possession, custody, or control:

(A) any designated documents or electronically stored information--including writings, drawings, graphs, charts, photographs, sound recordings, images, and other data or data compilations--stored in any medium from which information can be obtained either directly or, if necessary, after translation by the responding party into a reasonably usable form;

FRCP 34(a)(1)(A). FRCP Rule 34(e) then sets forth the responding parties’ obligations to the requesting party, and the form in which electronically stored material should be produced. FRCP 34(b)(2)(E). In light of 46 C.F.R. § 502.12 and FRCP 34, Respondents’ interpretation of the Order is untenable. Rather than make **any** attempt to comply with its discovery obligations, Respondents interpreted the Order to mean that they could in good faith say “Look at the documents we decided to produce and rule in our favor.” Resp. Br. 28-32.

Respondents’ argument that the breadth of the ILA’s search terms somehow obviated their obligation to engage in full discovery is similarly unavailing. The ILA served its initial discovery demands on January 19, 2023. CX_000037. Since then, the ILA repeatedly expressed its

willingness to develop mutually agreeable search terms for electronic discovery for emails, has proposed such search terms, and has offered twice to narrow those terms. *See* CX_000144; CX_000148; CX_000151. Respondents have refused to engage with the ILA, stating that they had no intention to search **any** email database **at all**, *see* CX_000147; CX_000149, and Respondents admit as much in their brief. Resp. Br. 32 (“Respondents. . . have taken a firm – and justified – stance that broad electronic discovery is not appropriate at this phase of the litigation on proportionality grounds. . .”).

Respondents argument regarding the breadth of the ILA’s proposed terms also ignores, perhaps willfully, that the Commission can find jurisdiction based upon MTO status through a broad number of factors and services offered by the purported MTO. Despite Respondents’ arguments to the contrary, the search terms clearly relate to the Respondents’ status as MTOs. *Accord*, 46 U.S.C. § 40102(15) (Shipping Act defining a MTO); 46 CFR 535.104(p) (Commission regulations providing examples of MTO services). The ILA’s proposed terms were appropriate for a thorough review of Respondents’ status—or lack thereof—as MTOs. Besides, Respondents’ arguments over the breadth of the search terms present a false dilemma. The ILA repeatedly offered to confer with Respondents to narrow the search terms and Respondents could have proposed their own search terms that they deemed to be less burdensome.

This is why the ILA has been prejudiced by Respondents’ actions. The ILA was given a record set by Respondents’ own terms, and not a full record developed through good-faith conferring between the Parties. Cherry-picking documents that support a parties’ position is not

how discovery works, despite Respondents' meandering justifications for their refusal to engage in full discovery. Resp. Br. 28.

**B. Respondent Ports America Florida, Inc.
Has Wholly Failed to Respond to Requests**

Moreover, the ILA has only received documents from four of the five Respondents; the ILA has received nothing from Ports America at all. *See* CX_000146-47. Respondents argue that because Ports America Florida, Inc., is not an entity that has actually operated within the Ports, Ports America has no obligation to search for or produce any documents within the possession of the Ports America entity that *does* operate in the Ports. *See* CX_000146-47.

In its initial brief, the ILA showed that Rule 34(a) of the Federal Rules of Civil Procedure requires corporate entities to reach out to their affiliates when responding to requests for documents. Moreover, the ILA's document requests to Ports America Florida specifically instructed Ports America Florida to obtain documents from its corporate affiliate in Charleston, yet Ports America Florida has repeatedly refused to do so.

Rather than address the ILA's discovery argument, Respondents fight against a straw man, saying that the ILA is trying to "pierce the corporate veil." Except the ILA is doing nothing of the sort. It goes without saying that one corporate entity cannot be held legally responsible for the acts of an affiliate. But that has nothing to do with what the ILA argues here and argued in its principal brief. The ILA is talking about **discovery obligations**. And the rules of discovery are clear: a corporation must produce any responsive documents located in the possession of a non-party affiliate, unless there is no practical ability to obtain such documents. FRCP Rule 34.

For the time being, Ports America Florida is a properly served party in this matter and therefore may not flout its discovery obligations as a party. Respondents could have moved to

dismiss Ports America Florida, but have elected not to do so. On August 18, 2022, the Commission issued *sua sponte* an order requesting briefs on whether sovereign immunity would be implicated by this proceeding. Respondents and their amicus took the occasion to argue in support of dismissal of the AVC because of the ILA's purported failure to name the two state Ports Authorities as Respondents to this action. Respondents could have also taken **that** occasion to move to dismiss Ports America Florida, Inc.—or could have moved for dismissal for insufficient service of process as Respondents allude to in their brief—but they obviously did not. Resp. Br. 31. Because the Respondents have not moved for dismissal on either of these grounds, they should be estopped from arguing that Ports America Florida has no obligation to engage in discovery in this proceeding. See FRCP Rule 12(h)(1).

Further, Ports America Florida, Inc. **was** the entity that engaged in the review procedure with the Commission during the review of Agreement No. 201293. CX_000160. Thus, the Commission has never had occasion to evaluate whether MCTE is an MTO subject to the Commission's jurisdiction, and Ports America's failure to provide any discovery within its control presents a glaring hole in the record before the Commission on the jurisdictional issue.²⁴

On such an incomplete record, the Commission cannot entertain Respondents' efforts to escape the Commission's jurisdiction in the nation's two largest southeastern ports. The Commission must permit the ILA to proceed to the merit-based component of this proceeding.

²⁴ As the ILA has previously explained, the ILA's discovery request defined "Ports America" as follows: "Ports America means Ports America Florida, Inc., and any corporate parent, subsidiary, or affiliate that ever conducted business in the Ports of Charleston and Savannah during the relevant time period . . ." CX_000039. Thus, Ports America Florida was clearly made aware of the information that the ILA was looking for in discovery.

CONCLUSION

For the foregoing reasons, the Commission should find that it has jurisdiction over Respondents because they are marine terminal operators in Charleston and Savannah.

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New York, New York

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CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to Respondents' counsel of record by email on this 27th Day of June, 2023.

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